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Considerations of monopsony in merger analysis: The *Penguin Random House* case

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ABSTRACT

In 2020, Bertelsmann SE & Co., the owner of Penguin Random House (PRH), offered to acquire Simon & Schuster for $2.175 billion. If the merger had been consummated, the newly merged firm would have had a 49 per cent share of the market for publishing rights to anticipated top-selling books. Concerned by the proposed merger, the Department of Justice alleged that a more concentrated sector for publishing would result in lower advances to authors of highly anticipated books. The antitrust concern, therefore, centred on the exercise of monopsony power rather than monopoly power. The District Court was persuaded by the evidence presented at trial and blocked the merger on that ground. Having lost at trial, PRH decided to forgo an appeal. This article provides a brief analysis and critique of the District Court's ruling.

KEYWORDS: Monopsony, auctions, collusion, antitrust
JEL CLASSIFICATIONS: K21, L22, L40

1. INTRODUCTION

Under section 7 of the Clayton Act, a merger or acquisition is forbidden if it may substantially lessen competition or tend to create a monopoly in any line of commerce in any section of the country.[1] In most instances, the antitrust concerns centre on possible reductions in competition among sellers. A merger of rival firms may alter the market structure, resulting in higher prices, lower quantities, or reduced quality. In other words, the competitive concern is with the creation or enhancement of monopoly power.

Recently, however, academics such as Herbert Hovenkamp, Suresh Naidu, Eric Posner, and others have called attention to the fact that mergers may create monopsony problems even when they pose no risks of monopoly.[2] Policymakers have very similar concerns. For

[1] For the specific language of s 7, see 15 U.S.C. s 18.
[2] Ioana Marinescu and Herbert Hovenkamp, 'Anticompetitive Mergers in Labor Markets' (2019) 94 Ind L J 1031; Suresh Naidu and Eric A Posner, 'Labor Monopsony and the Limits of the Law' (2022) 57 J Hum Resour 284; Brianna L Alderman

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example, Cory Booker, Amy Klobuchar, Elizabeth Warren, and others have called attention to the monopsony problem, urging the antitrust agencies to challenge mergers that may result in monopsonistic abuses.[3]

For its part, the Department of Justice (DOJ) responded in its *Anthem* complaint. In *U.S. v Anthem*,[4] the government's complaint alleged that the merger would allow the firm to depress its payments to physicians and hospitals. Unfortunately, the Court did not reach the monopsony allegation, as it barred the merger on other grounds.

This was not the case in the *Bertelsmann* suit.[5] The DOJ filed suit to block Penguin Random House (PRH), which is owned by Bertelsmann SE & Co. KGaA ('Bertelsmann'), from acquiring Simon & Schuster (S&S) purely on monopsony grounds.[6] The DOJ alleged that the proposed merger would have reduced the degree of competition between bidders for publishing rights to highly anticipated manuscripts in auctions. The DOJ further alleged that it would have also reduced the bargaining power of agents with the book publishers due to the reduced perception of competition for the book contracts under negotiation. Consequently, it was alleged that the overall reduced competition among publishers would result in lower advances for authors. The District Court agreed with the DOJ and blocked the proposed merger.[7] PRH decided not to appeal the verdict.[8]

In this article, we begin with a discussion in Section 2 of the market structure of book publishers of top-selling books. Section 3 describes the book publisher's business as it pertains to the highly anticipated manuscripts. In Section 4, we turn to the DOJ's competitive concerns, focusing our attention on the effects on bargaining power and auction results. Section 5 addresses the judicial resolution of the case, and Section 6 focuses on some judicial misadventures in this case. In Section 7, we close with some concluding remarks.

2. MARKET STRUCTURE

Given that the average American reads about 12 books a year, it is clear that book publishing is an important and impactful market within the US economy.[9] In the USA, five major book publishers account for approximately 91 per cent of the market for publishing rights to anticipated top sellers.[10] The largest of these five publishers is PRH, which publishes over 2000 new books in the USA annually, and generates nearly $2.5 billion in revenue. In 2020, Penguin offered to buy S&S, the third largest publisher for $2.175 billion. When PRH and S&S proposed merging, the DOJ objected and filed suit in Federal District Court. Interestingly, the DOJ did not object on the basis of concentration in book publishing which would reduce competition in the output market. Instead, the DOJ challenged the proposed acquisition of S&S by PRH solely on monopsony grounds.[11] The DOJ's competitive

and Roger D. Blair, *Monopsony in Labor Markets: Theory, Evidence, and Public Policy*, ch 10 (Cambridge University Press 2024).

[3] see, eg, https://www.klobuchar.senate.gov/public/_cache/files/e/1/e171ac94-edaf-42bc-95ba-85c985a89200/375AF2AEA4F2AF97FB96DBC6A2A839F9.sil21191.pdf, acessed 20 March 2024.

[4] *U.S. v Anthem, Inc., and Cigna Corporation*, No 1:16-cv-01493 (D.D.C. 21 July 2016).

[5] The complaint is available at https://www.justice.gov/opa/press-release/file/1445916/download (hereinafter referred to as '*DOJ Complaint*'). Penguin Random House is a subsidiary of the German media conglomerate Bertelsmann.

[6] It is unclear why the DOJ's focus was on monopsony since the increased concentration in the output market may well have increased book prices. One potential explanation is that reduced advances could have reduced the number of new manuscripts with a consequent reduction of creativity and variety.

[7] *Bertelsmann SE & CO. KGAA*, No 1:21-cv-02886 (D.D.C. 7 November 2022). (Henceforth referred to as '*Bertelsmann*'). The Opinion is available at https://www.justice.gov/atr/case-document/file/1549941/dl.

[8] See https://publishingperspectives.com/2022/11/paramount-terminates-the-prh-simon-schuster-deal/. PRH paid S&S a termination fee of $200 million.

[9] See https://worldpopulationreview.com/country-rankings/average-books-read-per-year-by-country.

[10] *Bertelsmann* at 34.

[11] In the 2023 Merger Guidelines, Guideline 10 recognizes that a merger between competing employers may substantially lessen competition in the labour market. See https://www.ftc.gov/system/files/ftc_gov/pdf/2023_merger_guidelines_final_

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concern was that the increased concentration would depress the prices paid to authors for publishing rights to anticipated top-selling books.

As in most merger challenges, the market definition was critical to the DOJ's success. The product market was defined to be 'the market for the publishing rights to anticipated top-selling books … .[That is, books] that are expected to yield significant sales, and for which authors therefore receive higher advances.'[12] In other words, among all authors of trade books, DOJ isolated the authors of anticipated top-selling books.[13] The theory is that this subset of all authors can be profitably targeted for a reduction in advances. The DOJ refined this analysis by defining 'top-selling' books as those for which publishers would pay advances of at least $250,000 to obtain publication rights.[14] The District Court accepted this product market definition.[15]

If the merger had been permitted, the 'Big Five' publishers would have been reduced to the 'Big Four'. In that event, the combined PRH–S&S would have published about 3000 new titles each year and realized total sales revenue of $3.26 billion.[16] Moreover, its market share would have been about 49 per cent.[17] The second largest publisher would have had about 24 per cent of the market, while the third and fourth largest would have had shares of 10 per cent and 9 per cent, respectively.[18] In that event, the industry would have been deemed 'heavily concentrated' by the DOJ and the federal trade commission (FTC) with an herfindahl–hirschman index (HHI) in excess of 3000.[19] While a large number of other publishers would have continued to exist post-merger, they only accounted for the remaining 9 per cent of the market as defined by DOJ. Consequently, the market structure would have been an oligopsony with a competitive fringe.[20]

To put this market structure in perspective, we note that the proposed merger satisfied both presumptions of illegality found in the 2023 Merger Guidelines.[21] First, the DOJ and the FTC presume that a merger is unlawful if the post-merger HHI equals or exceeds 1800 and the Δ equals or exceeds 100. In this case, both the HHI and the Δ were well above these thresholds. Secondly, when a merger provides a firm with a market share of 30 per cent or more and a Δ of 100 or more, the DOJ and the FTC presume that it violates section 7 of the Clayton Act. Again, the proposed acquisition of Simon and Schuster by PRH far exceeds these thresholds.

If the market definition had included the publishing rights to *all* trade books, then the Big Five's share would have been only 55 per cent.[22] In that event, both the HHI and the

12.18.2023.pdf. A similar sentiment is shared in the 2010 Merger Guidelines. See https://www.ftc.gov/system/files/documents/public_statements/804291/100819hmg.pdf at s 12.

[12] *Bertelsmann* at 24.

[13] Trade books are defined as 'books intended for general readership, as opposed to specialized books like textbooks or manuals'. ibid 3.

[14] ibid 26.

[15] The District Court observed that the DOJ's economic expert used other dollar thresholds to identify anticipated top sellers and reached similar conclusions regarding the competitive consequences of the proposed merger. ibid 29.

[16] At the time of the suit, PRH had published approximately 2,000 new titles in the USA, and S&S had published another 1,000 per year. PRH earned $2.5 billion in annual revenue, and S&S reported net sales of $760 million. Therefore, their combined book sales would likely have exceeded $3.26 billion. ibid 1–2.

[17] ibid 44.

[18] ibid.

[19] In the Opinion, the Court found that the post-merger HHI would be 3,111, which is an increase of 891. ibid 46. However, we cannot verify this since we do not have the market shares of the individual fringe firms.

[20] In their complaint, DOJ went so far as to state: 'Simon & Schuster's late CEO likened non-Big Five publishers to "farm teams for authors" from which the Big Five could cherry pick talent. In contrast, she described the other Big Five publishers as "our biggest competitors, especially for books by already bestselling authors and celebrities, since they are the most likely to come up with the high advance payments required and are known for their strong editorial and publishing skills."' See *DOJ Complaint* 3–4.

[21] For a sceptical view of this presumption, see Louis Kaplow, 'The 2023 Merger Guidelines and Market Definition: Doubling Down or Folding' (2024) 65 Rev Ind Organ 7. The post-merger HHI of 3,111 and the so-called Δ of 891 far exceed the threshold in the 2010 Horizontal Merger Guidelines. The 2023 Merger Guidelines are more stringent. See (n 11).

[22] *Bertelsmann* 34.

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so-called Δ would have been outside the heavily concentrated level. As a result, the DOJ's complaint may have failed.

3. THE BOOK PUBLISHER'S BUSINESS

Book publishers receive various submissions from authors and their agents, including outlines for proposed books, sample chapters, partial drafts, and completed manuscripts. The acquisition editors review these materials and pick the titles they would like to publish. Offers made to authors to publish their works, as well as advances on future royalties, are determined through bilateral bargaining or competitive bidding by multiple publishers. Once the publisher receives the final draft, it is edited, printed, bound, and distributed according to a marketing plan. If all goes well, the author receives royalties beyond the advance, and the publisher earns profit on book sales and audio rights.

The publisher's profits

As in any business, profit is the difference between sales revenue and the costs incurred in generating this revenue. Revenues flow from the sales of paperback books, hardcover versions, e-books, and audio rights. There are many costs incurred during the publication process. In addition, the publisher must pay the author for publishing rights to the author's manuscript. Typical royalties on the net sales of their books are as follows[23]:

1) Paperback edition: 7.5% royalty rate.
2) e-books and audio or digital downloads: 25% of net sales.
3) Hardcover edition: (i) below 5000 copies sold—10% of net sales; (ii) 5000–10,000 copies sold—12.5% of net sales; and (iii) more than 10,000 copies sold—15% of net sales.

To acquire the publishing rights to a manuscript, the publisher must provide an advance on royalties to the author. The size of the advance is determined through bilateral bargaining between the publisher and the author's agent, or by a kind of auction. If the royalties earned on the net sales of a book do not cover the advance, the author earns no more money but is not required to return the unearned portion of the advance.[24]

Let $P(Q)$ be the price of the book, Q be the quantity sold, $C(Q)$ be the publisher's cost of production and distribution, and A be the advance. The publisher's profit when the sales of the book fail to generate royalties sufficient to cover the advance is:

$$\Pi = P(Q)Q - C(Q) - A.$$

In contrast, if the net sales cover the advance, the firm profit is:

$$\begin{aligned}\Pi &= P(Q)Q - C(Q) - rP(Q)Q \\ &= (1-r)P(Q)Q - C(Q),\end{aligned}$$

where r is the royalty rate.

According to the District Court, more than 85 per cent of anticipated top sellers fail to produce net sales that are large enough to generate royalties equal to the advance paid to

[23] *Bertelsmann* 8.
[24] ibid 6.

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the authors.[25] This adds to the importance of the advance—especially so for authors—because this means that more than 85 per cent of these books will not generate any compensation for their authors beyond the advance they receive.

At first glance, this seems to be an example of the well-known 'winner's curse'. That is, the apparent winner actually ends up losing because they won by bidding too much. But this may not be the case. Book publishers are multiproduct firms, that is they have a long list of titles. Signing authors of anticipated bestsellers may have an external effect that attracts other bestselling authors in the future. In that event, an overbidding strategy may be profitable.

Even though book publishers seemingly over-bid on many of their titles, this does not mean that the publisher earns no profit.[26] According to the District Court, the publisher begins to earn a profit when net sales are sufficient to generate royalties equal to 70 per cent of the advance.[27] Letting r be the royalty rate and A be the advance, this means that when $rP(Q)Q = 0.7A$, the publisher begins to generate profits. For example, suppose a top-selling author receives an advance of \$1.0 million, with a royalty rate is 10 per cent. Then the publisher begins to earn a profit on that title when net sales are large enough to generate royalties of \$700,000. This means that the breakeven sales are:

$$P(Q)Q = \frac{\$700,000}{0.10} = \$7.0 \text{ million.}$$

If total book sales amount to \$8.0 million, the publisher will realize some profit on that title. However, the sales do not cover the advance since they generate royalties of \$800,000 while the advance is \$1.0 million. In this example, the actual royalty rate is 12.5 per cent rather than 10 per cent.[28]

The publisher's pricing problem

Assume that publishing rights to a book have been acquired for an advance of A. The publisher has an odd pricing problem because it does not know how successful the book will be before setting the price.

If a publisher assumes that book sales will not be sufficient to earn the advance (A), then profit maximization requires:

$$\frac{d\pi}{dQ} = P + \frac{dP}{dQ}Q - \frac{dC}{dQ} = 0,$$

since the advance is a fixed cost. Thus, the publisher will set price and output such that marginal revenue will equal marginal cost.

If the publisher assumes that the advance will be earned, then profit maximization requires:

$$\frac{d\pi}{dQ} = (1-r)\left(P + \frac{dP}{dQ}Q\right) - \frac{dC}{dQ} = 0.$$

Consequently, price and output will be set such that $(1-r)MR = MC$. Thus, the price will be higher, and the quantity will be lower than when A is treated as a fixed cost.

[25] ibid 7.
[26] In *Bertelsmann*, the Court observed that only 35 out of 100 books are profitable. ibid 5.
[27] ibid 16.
[28] In our example, the realized royalty rate is $r = \frac{A}{P(Q)Q}$. In our example, this means that $r = \$1,000,000/\$8,000,000 = 0.125$ or 12.5 per cent.

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For the publisher, this is a difficult managerial decision because prices must be set before actual sales are made. Because 85 per cent of the books published do not sell enough to cover the advance paid to authors, we would expect pricing decisions that treat the advance as a fixed cost. The truth, however, is an empirical matter.

4. THE DOJ'S COMPETITIVE CONCERNS

In an effort to obtain a contract, authors prepare book proposals, partial drafts, sample chapters, and completed drafts. These materials are submitted to one or several acquisition editors for their consideration. If an editor wants to acquire publication rights to a manuscript, they will offer a contract to the author. Several contract terms are important to the author, but the single most important term is the advance. In most cases, the advance is paid in four instalments: (i) 25 per cent upon signing; (ii) 25 per cent upon delivery and acceptance of the manuscript; (iii) 25 per cent upon publishing; and (iv) 25 per cent 1 year after publishing. This payment schedule provides an incentive for the author to finalize the manuscript. At the same time, it provides some protection for the publisher since only 25 per cent of the advance is paid prior to the completion of the manuscript.

There are other contract terms that are important to the authors. These include the royalty rate, audio rights, and the number and timing of the instalments for the advance. The size of the advance remains the single most important term in the contract because the vast majority of books do not sell enough to generate royalties beyond the advance.

In the PRH–S&S case, the competitive concerns centred on the reduction in the number of publishers and the impact on the authors' advance.[29] Although the Court seemed primarily concerned with the number of bidders in auctions, similar concerns apply to the bargaining between authors and publishers.

In 60 per cent of cases, the advance is determined through bilateral negotiations between a single editor and the author's agent. In the remaining 40 per cent, the author's agent solicits competing offers from multiple publishers.[30] Those interested publishers make offers and counteroffers in a kind of auction. The author and their agent must choose between bilateral bargaining and an auction. Presumably, bilateral bargaining is most common where the author and the publisher have had prior successes with the author's work. The decision to solicit competing offers from several publishers in a kind of auction may be motivated by the absence of any prior experience with a publisher or an unsatisfactory experience.

Bargaining

In those instances where the author's agent bargains with a single acquisition editor, the number of viable alternatives is still important. If a single negotiation is not going well, the agent can turn to other publishers or at least threaten to do so. Put differently, the number of independent publishers has an impact on the relative bargaining strength of the parties. In many cases, authors and/or their agents may have previous relationships with publishing

[29] For an analysis of mergers that raise competitive issues on the buying side, see Phillip Areeda and Herbert Hovenkamp, *Antitrust Law* (4th edn, Wolters Kluwer 2012) paras 980–82. For further discussions of mergers of monopsony, see Tirza J Angerhofer and Roger D Blair, 'Considerations of Buyer Power in Merger Review' (2022) 10 J Antitrust Enforcement 260; Roger D Blair and Jeffrey L Harrison, 'Antitrust Policy and Monopsony' (1991) 76 Cornell L Rev 297; Scott Hemphill and Nancy L Rose, 'Mergers that Harm Sellers' (2018) 127 Yale L J 2078; Roger D Blair, 'Merger to Monopsony: An Efficiencies Defense' (2010) 55 Antitrust Bull 689; Elena Prager and Matt Schmidt, 'Employer Consolidation and Wages: Evidence from Hospitals' (2021) 111 Am Econ Rev 397; David Arnold, 'Mergers and Acquisitions, Local Labor Market Concentration, and Worker Outcomes' (2020) (Unpublished); Marinescu and Hovenkamp (n 2). For a European perspective, see Ariel Ezrachi and Maria Ioannidou, 'Buyer Power in European Union Merger Control' (2014) 10 Eur Compet J 69.

[30] The Court found that self-publishing is not a reasonable substitute for publishing with one of the Big Five. *Bertelsmann* 19.

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companies. In this case, they may engage in one-on-one negotiations to try and settle on an advance for a manuscript. This can be more complicated for the publishers, as they have no signals from other publishers during negotiations to adjust their prior valuations of these books. As Brian Tart, President and Publisher of the PRH imprint Viking Penguin put it, '"you are basically bidding against the author's expectations and the agent's expectations,' and there are 'no other market inputs [but] you know there's competition out there."'[31]

Consequently, there is no room to update beliefs about the manuscript's perceived potential based on other publisher's valuations, because the negotiating publishers are not receiving new information from each other. Instead, the threat alone of other publishers could drive their valuations up simply due to the idea of competition, regardless of whether the outside publishers would purchase the manuscript. As book agent Gail Ross said, '"in this business, there's always the other competitor. Whether … they're bidding or not, they're always there."'[32]

Auctions

When the market value of a good or service is unknown, an auction can be used to determine that value.[33] In the case of publishing rights, the market value of the advance on an unpublished manuscript is not known with certainty. There are several determinants of a book's sales: the quality of the final submission, the editing, and the marketing plan. Due to the heterogeneity of the publisher's value-added services, the auction involves private values rather than common values. In a first-price private value auction, initial offers rise through successive rounds and the highest bid usually wins.[34] Additionally, in a first-price private value auction, the number of bidders is important—a larger number of bidders will drive up the winning bid.[35] At trial, there was testimony to this effect.[36]

In other words, participants are likely to adjust their prior valuations due to the presence of more or fewer bidders for a given title. This is likely because these auctions are not required. Instead, bidders must opt-in to participate. The more bidders that opt-in, the more anticipated the book appears to be. As a result, bidders are likely to update their prior beliefs about the value of the book, which can drive up the advances offered to authors in multi-round auctions. On the other hand, when there are fewer bidders, those who have opted into the auction may use this as a signal to reduce their valuation of the book in the following round of bids, given that there are fewer interested publishers than were expected.

Michael Pietsch, CEO of the Hachette Book Group, testified that the PRH–S&S merger would reduce the advances to authors of anticipated top-selling books.[37] He observed that

[31] ibid 13.

[32] ibid.

[33] There is a rich literature on the economics of auctions. See Paul Klemper, *Auctions: Theory and Practice* (Princeton University Press 2004); Lewis Philips, *The Economics of Imperfect Information*, ch 4 (Cambridge University Press 1988); Ines Macho-Stadler and J Davis Perez-Castrillo, *An Introduction to the Economics of Information*, s 4 C.1 (Oxford University Press 2001); and Charles W. Smith, *Auctions: The Social Construction of Value* (University of California Press 1989).

[34] In the English auction with private values, it is a weakly dominant strategy to stay in the auction until the price reaches your value. In this sense, the bidder strategy does not depend on the number of bidders. However, the expected price, which is equal to the second-highest value in equilibrium, does depend on the number of bidders, because it is equal to the second-order statistic of the distribution of values. In the common value setting, bidders do not know their values, but each observes a different signal of true value, and the signals are correct on average. The bidder with the highest (most optimistic) signal wins, but the bidder strategy depends on the observed previous dropout prices, because they convey additional information about the true value. Because early drop-out prices depend, on expectations, on the number of bidders, expected prices depend on the number of bidders in the auction as well. We are indebted to Katya Sherstyuk for her help with this explanation.

[35] ibid.

[36] 'Dr [Nicholas] Hill, the DOJ's economic expert, confirmed that when a large number [of] imprints participate in an auction, all of them understand that they need to be more aggressive in their bidding to prevail.' *Bertelsmann* 52.

[37] 'Hachette CEO Michael Pietsch testified that a larger number of bidders leads to "more upward pressure" so that "in general … the price paid at auction can increase because of the number of participants."' ibid. He also testified: '"My guess is less competition will … [in the] long-term probably bring the advance levels down."' ibid.

Table 1. Examples of competitive bidding[a]

Beginning (high) bid	Winning bid	Difference	Number of rounds
$500,000	$600,000	$100,000	2
$375,000	$550,000	$175,000	1
$550,000	$825,000	$275,000	8
$750,000	$1.05 million	$300,000	3
$750,000	$1.1 million	$350,000	–
$750,000	$1.1 million	$350,000	–
$250,000	$700,000	$450,000	3
$250,000	$750,000	$500,000	4
$400,000	$1.1 million	$700,000	5
$800,000	$1.5 million	$700,000	1

[a] Bertelsmann at 12.

there would be fewer rounds in an auction following the merger and that would result in lower winning bids.

At trial, examples of auctions were introduced that illustrated the benefit of competition. Vigorous competition among the publishers can lead to advances that exceed initial offers by hundreds of thousands of dollars. Thus, for the authors, competition is extremely important.

Table 1, which was constructed from information presented in the Court's opinion, illustrates the benefits to the authors of competitive bidding. Given these examples, the average difference between initial and final offers was almost $440,000. In the most extreme case provided, the difference between the initial and final bid was $1.2 million.[38]

The Court considered the bidding results when PRH and S&S went head-to-head. DOJ provided evidence of 27 'competitive episodes' over 3.5 years where direct, head-to-head competition between PRH and S&S drove up the advances offered to authors.[39] In one case, the advance was bid up from $685,000 to $825,000, and in another, the advance was bid up from $6.0 million to $8.0 million.[40]

Alleged efficiencies

PRH and S&S argued that any adverse economic effects in the relevant antitrust market would be more than offset by the merger-specific efficiencies. Allegedly, the efficiencies would be so large that the newly merged firm could pay substantially higher advances to the authors of the anticipated top-selling books. There are two fundamental problems with this argument. First, since the publishers are profit maximizers, they would increase the advances to authors only if it were profit maximizing to do so—not just because they could afford to do so. Since the sales of most books are insufficient to cover the current advances, it is not credible that advances would rise. Secondly, the District Court found that the claimed efficiencies were not cognizable.[41]

The Supreme Court has never recognized an efficiencies defence in a merger case. In their prosecutorial discretion, however, the DOJ and the FTC are prepared to weigh cognizable efficiencies against the anticompetitive consequences of a merger under review. The burden of proof is squarely on the shoulders of the merging parties.

To be cognizable, the alleged efficiencies must meet four demanding standards.[42] First, the efficiency must be merger specific.[43] In other words, the efficiency must be unattainable

[38] The initial offer was only $250,000, and the final offer reached $1.5 million.
[39] *Bertelsmann* 52.
[40] ibid 52.
[41] ibid 77.
[42] These standards are spelled out quite clearly in section 3.3 of the 2023 Merger Guidelines. See (n 11).
[43] See 2023 Merger Guidelines, section 3.3 for further details. ibid.

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absent the merger. Secondly, the efficiencies must be verifiable. They cannot be based on speculation or conjecture by the merging parties. If there is no reliable methodology for proving the existence of the claimed efficiencies, neither the DOJ nor the FTC can consider them. Thirdly, the efficiencies must be sufficient to completely offset any anticompetitive consequences of the merger. Since there can be no anticompetitive consequences in the relevant market, this requirement eliminates Williamson's welfare trade-off, which has never been recognized as an antitrust defence by the judiciary.[44] Fourthly, the benefits of the merger cannot result from competitive harms imposed on the merging firms' trading partners. For example, if the merger reduces the merging firm's average cost due to enhanced monopsony power in one or more input markets, the 'efficiency' will not be considered.

If the claimed efficiency satisfies these four criteria, it will be deemed cognizable. But a cognizable efficiency must be of a nature and likelihood that no substantial lessening of competition is threatened by the merger in any relevant market.[45]

5. JUDICIAL RESOLUTION

Section 7 of the Clayton Act condemns mergers that may substantially lessen competition in a relevant antitrust market.[46] The District Court, therefore, began its analysis by defining the relevant antitrust market as the publication rights to anticipated top-selling books.[47] A publisher acquires publication rights to a manuscript by committing an advance on royalties. The amount that a publisher must pay to acquire a title is 'inexorably determined by competition' among rival bidders.[48] The Court found that competition was vital in both auctions and one-on-one bargaining between the author's agent and a single editor.

The so-called Big Five publishers have a competitive advantage over their smaller rivals due to their size and ability to pay large advances. In addition, the Big Five have advantages in marketing, publishing, and distribution that lure authors and their agents away from smaller rivals.

The District Court explained that the DOJ did not have to prove that the ill effects of the merger were certain to materialize. Instead, DOJ faced a somewhat relaxed standard of proof:

> The government 'must prove the alleged Clayton Act violation by a preponderance of the evidence,' ie, that the merger would more likely than not violate the statute; but '[S]ection 7 does not require proof that a merger or other acquisition will cause higher prices [or anticompetitive effects] in the affected market. All that is necessary is that the merger create an appreciable danger of such consequences in the future.'[49]

The District Court analysed the proposed merger under the burden-shifting approach set out in *Baker Hughes*.[50] The analysis begins with market definition. The Court found that the relevant antitrust market was not publication rights to all trade books. If the market had been all trade books, then the market share of the Big Five publishers would have been considerably smaller.[51] DOJ alleged that there was a sub-market limited to publication rights for

[44] Oliver E Williamson, 'Economies as an Antitrust Defense: The Welfare Tradeoffs' (1968) 58 Am Econ Rev 18.
[45] See the 2023 Merger Guidelines, section 3.3. See (n 11).
[46] For the precise language of s 7, see 15 U.S.C. s 18.
[47] *Bertelsmann* 3.
[48] ibid 11.
[49] ibid 21.
[50] *U.S. v Baker Hughes Inc.*, 908 F.2d 981 (D.C. 1990).
[51] The Big Five had a combined 60 per cent share of the market for all trade books. *Bertelsmann* 3.

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anticipated top sellers. The authors of these books then constitute those that can be targeted for monopsonistic abuse. DOJ relied on several *Brown Shoe* indicia to support this definition.[52] Based on the *Brown Shoe* indicia, the Court found that the relevant product market was publication rights to anticipated top sellers. These books were identified as those that command an author advance of at least $250,000.[53]

Having defined the relevant antitrust market, the DOJ began the burden-shifting process by proving that the proposed merger would result in a post-merger HHI of 3111 with a Δ of 891.[54] According to the Court, this showing satisfied the DOJ's obligation to establish a *prima facie* case that the proposed merger would violate section 7 of the Clayton Act.

The burden then shifted to PRH and S&S to refute the DOJ's evidence. It could have done this in one of the two ways. First, it could have proved that the DOJ's claims were factually incorrect—it did not do this. Secondly, it could try to justify the merger on the basis of procompetitive efficiencies—they tried this and failed.

First, PRH argued that its superior supply chain would increase sales by top-selling authors and reduce expenses associated with returns of unsold books. Secondly, Penguin claimed that operating costs would fall, and savings would be realized by eliminating redundancies and consolidating workspace.

In the end, the District Court rejected the claimed efficiencies and refused to permit the publisher's expert witness to present the efficiency defence at trial.[55] Had the merger been permitted, the newly merged firm would have been as large as the next three publishers combined. But the merger was not allowed. Since PRH and S&S failed to meet their burden, the presumption of illegality stood. The DOJ prevailed at trial, and the parties decided not to appeal the District Court's ruling. S&S's parent, Paramount Global, received a $200 million termination fee due to the merger's failure.[56]

Collusion among the Big Five

One major finding presented by the Court in its opinion focused on tacit collusion among the Big Five publishers. Tacit collusion was recognized by Adam Smith in *The Wealth of Nations*.[57] The concept attracted more attention when Chamberlin introduced it in his analysis of Cournot duopoly.[58] As applied to the Big Five book publishers, tacit collusion is deceptively simple. The publishers recognize that since publishers know what their profit-maximizing advance is, they will not compete by offering higher advances. They recognize that competition will result in lower profit, so without an overt agreement, they unilaterally elect not to compete. The result is the same as the result of overt collusion, but it is beyond the reach of the antitrust law. Section 1 requires proof of an agreement, but an actual agreement is not present. Section 2 of the Sherman Act requires proof of a monopoly, or, in this case, monopsony. Since none of the publishers has a market share that exceeds the monopoly/monopsony threshold, section 2 is not violated.

In the usual analysis of tacit collusion, the buyers would restrict their purchases and buy only their fair share, so that the total purchases do not exceed the profit-maximizing quantity. Each firm earns monopsony profit on the purchases that it makes. In the case of the Big

[52] *Brown Shoe Co. v U.S.*, 370 U.S. 294 (1962).

[53] *Bertelsmann* 26. The economic expert for DOJ found that the economic effects of the proposed merger were robust to other advanced level thresholds. Just why $250,000 was the preferred threshold is unclear.

[54] ibid 46.

[55] 'The Court, however, precluded the defendants' evidence of efficiencies, after determining that the defendants had failed to verify the evidence, as required by law.' ibid 77.

[56] *Bertelsmann SE & CO. KGAA* (n 7).

[57] Adam Smith, *The Wealth of Nations* (W. Strahan and T. Cadell, London 1776).

[58] Edward Chamberlin, *The Theory of Monopolistic Competition* (8th edn, Harvard University Press 1963) 47.

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Five, however, the market shares are quite different.[59] Interestingly, the District Court found that they tacitly colluded on the most important contract terms except for the advance.

First, the District Court pointed to the payment of advances. In the past, authors received this advance in two instalments, but now the advance is paid in four instalments. The Big Five have all adopted this payment schedule.[60] As e-books became a more important source of revenue, the Big Five reduced the royalty rate on eBooks from 50 per cent to 25 per cent.[61] In addition, each publisher refused to bid for a book unless the audio rights were included in the contract.[62] The District Court noted that competition for publication rights to anticipated top-selling books was fierce, but the competition was limited to the advance.[63]

None of the Big Five seeks to gain a competitive advantage by offering more favourable contract terms. From this behaviour, the District Court concluded that the Big Five were engaged in tacit collusion. This conduct is clearly non-competitive but is beyond the reach of the Sherman Act. It does not violate section 1, which requires an actual agreement, nor does it violate section 2 since conduct will not lead to a structural monopoly.

The output market for top-selling books

Although the DOJ's focus was on monopsony power in the market for publication rights to anticipated bestsellers, there would have been adverse economic consequences in the output market. The competitive concern of the DOJ was the reduction in the advances paid to the authors for the publication rights to their manuscripts. In 85 per cent of the books published, sales are insufficient to generate royalties that cover the advance. Most of the time, therefore, an author's compensation for supplying a manuscript is the advance paid by the publisher. If, in the post-merger world, the advance fell, one of the two things would have happened.

First, assuming that the supply of manuscripts is positively sloped,[64] a reduction in advances would lead to a reduction in the number of manuscripts supplied. This, in turn, would result in fewer books being published, which would have adverse consequences for consumers—fewer choices and higher prices. For example, this may occur in cases where the author depends on the advance to support themselves during the writing process.

Alternatively, the authors could produce the manuscript anyway. This implies that over some range, the supply of manuscripts is perfectly inelastic. In this event, reduced competition among the publishers will lead to lower advances without a reduction in the number of manuscripts produced. As a result, they would earn less on average. Consequently, the publishers would enjoy a wealth transfer from the authors to themselves. In this case, however, the number of books published will not decrease, so consumers will be unaffected.

As this proposed merger was challenged by the DOJ, the intended victims would have been the authors. If the merger had been consummated, they would have had antitrust standing to pursue damages under section 4 Clayton Act. The consumers would have been unintended victims and would not have had antitrust standing.[65]

[59] *Bertelsmann* 27.
[60] See Section 4 discussion on the current payment schedule.
[61] *Bertelsmann* 60.
[62] ibid 60–61.
[63] ibid.
[64] We are unaware of any empirical evidence to support this assumption. We analyse this case for the sake of completeness.
[65] Harm to consumers occurs only if the reduced competition among the publishers results in fewer manuscripts being written. For further discussion, see Brianna L Alderman and Roger D Blair, 'The Antitrust Victims of Monopsony' (2024) 12 J Antitrust Enforcement 29.

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6. JUDICIAL MISADVENTURES

The District Court may well have reached the correct decision regarding the legality of the proposed merger under section 7 of the Clayton Act, but some of its findings deserve criticism. In particular, the Court's cavalier dismissal of the economic importance of the competitive fringe reflects a misunderstanding of that market structure.

The economic importance of fringe publishers

In the relevant antitrust market, the Big Five had a combined market share of 91 per cent, while a fringe of smaller rivals accounted for the remaining 9 per cent of anticipated top-selling books purchased. According to the District Court, the Big Five publishers were tacitly colluding with one another,[66] so the market structure was effectively a dominant buyer—competitive fringe structure. PRH and S&S contended that the competitive fringe limited the Big Five's ability to depress the advances offered to authors. The District Court characterized this argument as an 'economic sleight of hand'.[67] As a general proposition, this cavalier dismissal was inappropriate. In such a market structure, the competitive fringe is apt to reduce, but not eliminate, the dominant buyer's ability to depress the price paid. This conclusion is easily illustrated with the aid of Fig. 1.

To see the significance of the fringe publishers, we employ the cartel variant of the dominant buyer model.[68] In this model, the cartel is surrounded by a collection of small buyers, which are collectively referred to as the competitive fringe. Due to its size, the cartel recognizes that its purchases will influence the market price. As a result, the cartel will act as a price setter rather than a price taker. Each fringe firm is small enough that it acts as a price taker because it believes that its purchases are too small to influence price in the market. In essence, the fringe of competitive buyers accepts the price that the cartel sets as the market-determined price.

Behaving competitively, the fringe firms will buy the input up to the point where their collective demand equals the price set by the cartel. Now, the cartel's problem is to adjust its purchases to maximize profit subject to the competitive behaviour of the fringe buyers. This is shown in Fig. 1, where D_f represents the demand for publishing rights by the competitive fringe, D_c represents the demand of the cartel, and S is the supply curve. The cartel recognizes that at any price that it sets, the fringe will purchase the quantity where D_f equals that price. The cartel incorporates this behaviour into its decision calculus by subtracting D_f from S to obtain the residual supply, which is denoted by S_r in Fig. 1. The curve marginal to S_r, which is labelled *ME*, represents the marginal expenditure (ME) for the cartel. Given the presence of the competitive fringe, the cartel acts like a monopsonist. The cartel selects where ME equals D_c, which determines the cartel quantity Q_c. The price is found on S_r at Q_c. At a price of P, the fringe firms will purchase that quantity where P equals D_f. At a price of P, all sellers will provide a total quantity of Q, which is equal to the sum of Q_c and Q_f. The ME exceeds the price of the input (P).

The profit-maximizing behaviour of the cartel leads to the same sort of allocative inefficiency that results from pure monopsony. Since ME exceeds P, the value created by employing one more unit would exceed the social cost of doing so. Consequently, cartel behaviour leads to a deadweight social welfare loss analogous to that of pure monopsony. The magnitude of the welfare loss will be smaller due to the presence of the competitive fringe. The ability of the cartel to

[66] '[T]he Court finds that the Big Five publishers have engaged in tacit coordination that is profitable for those involved.' *Bertelsmann* 60.

[67] ibid 65.

[68] This model is explained in Roger D Blair and Jeffrey L Harrison, *Monopsony in Law and Economics* (Cambridge University Press 2009) 55–60. In Fig. 1, we have overstated the fringe's share for expositional purposes. The fringe's share is only 9 per cent.

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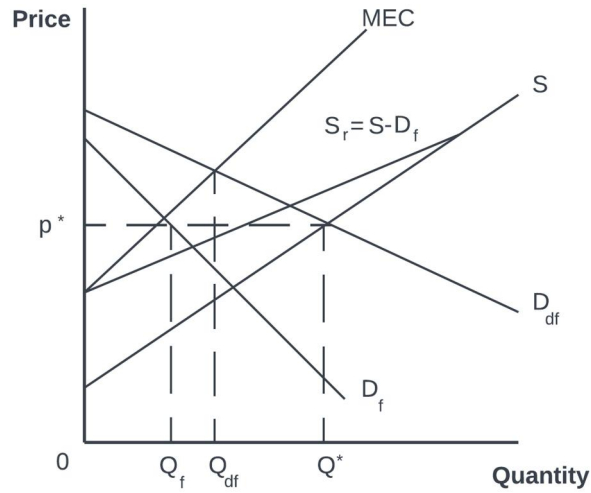

Figure 1. The presence of the competitive fringe mitigates the impact of the dominant buyers.

depress prices below the competitive level is moderated, but not eliminated, by the fringe's willingness to expand purchases when the price is reduced. Consequently, it is incorrect to characterize these considerations as an 'economic sleight of hand'.

In the *Bertelsmann* case, the ability of the fringe to moderate the dominant buyer's monopsony power was limited due to its size. The relative importance of the fringe publisher's presence can be seen in the Lerner Index of Monopsony.[69] For a dominant buyer, the Lerner Index is given by:

$$\lambda = \frac{s}{\varepsilon - (1-s)\eta_f},$$

where s is the cartel's share of total purchases, ε is the elasticity of supply, and η_f is the elasticity of the fringe's demand. From this expression, the ability of the cartel to deviate from the competitive solution depends on its share of the total purchases—as s rises, λ rises. The larger the fringe's presence, the greater will be $(1-s)$ and, therefore, the smaller will be λ. Moreover, the greater the absolute value of the fringe's demand, $(1-\eta_f)$, the smaller will be λ.

As a generalization, it is simply incorrect to dismiss the fringe publishers out of hand, but it seems correct to minimize the fringe's significance in the *Bertelsmann* case. The market share of the Big Five was 91 per cent, so s was equal to 0.91. The fringe's share was only nine per cent, so $(1-s)$ was equal to 0.09. If the fringe had not existed, the Lerner Index would have been the inverse of the elasticity of supply:

$$\lambda = \frac{1}{\varepsilon}.$$

[69] The Lerner Index of Monopoly can be traced to Abba Lerner, 'The Concept of Monopoly and the Measurement of Monopoly Power' (1934) 1 Rev Econ Stud 157. An adaptation of the Lerner Index to monopsony can be found in Daniel Sullivan, 'Monopsony Power in the Market for Nurses' (1989) 32 J L & Econ S135. The dominant buyer adaptation was presented in Roger D Blair and Jeffrey L Harrison, 'Cooperative Buying, Monopsony Power, and Antitrust Policy' (1991) 86 Nw U L Rev 331.

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With the fringe, the Lerner Index was:

$$\lambda = \frac{0.91}{\varepsilon - (0.09)\eta_f}.$$

For the fringe to have a significant impact on the Lerner Index, the absolute value of the elasticity of the fringe's demand would have to be quite large. This would not appear to be the case. The fringe publishers reportedly have fewer financial resources for manuscript development and sales promotion.[70]

As we can see in the Lerner Index, as the fringe expands, the share of the dominant firm will decline and the share of the fringe will increase, that is s gets smaller and $(1 - s)$ gets bigger. As a result, the influence of the fringe becomes more pronounced. Hence, the presence of the fringe does play an important role in determining the advances paid to publishers, particulary when the fringe is a larger share of the market, for example, if the market definition were to include all trade books and the fringe's share of the market was 45 per cent. However, in this case, the fringe was quite small relevant to the presence of the dominant firm.

7. CONCLUDING REMARKS

When PRH, the biggest publisher of trade books, proposed acquiring S&S, the third largest publisher, DOJ's antitrust hackles were raised. Interestingly, the DOJ's concern was not with the absence of competition in the output market. Instead, the DOJ was worried about the merger's adverse effect on the market for publishing rights to highly anticipated top-selling books. More specifically, the competitive concern was with monopsony power and its economic consequences on lowering advances for authors and a consequent reduction in new books.

The DOJ employed a $250,000 advance threshold to identify the books for which rival publishers compete. Given this market definition, DOJ established that the so-called Big Five hold a combined market share of 91 per cent. It argued that the merger would reduce the Big Five to the Big Four and thereby reduce the number of rival bidders. DOJ concluded that reducing competition among the top purchasers of these books would result in lower advances paid to the authors.

The District Court agreed with DOJ and issued a permanent injunction. PRH decided to forgo an appeal, and while the market structure remains highly concentrated, it is much less so than if the merger had been permitted.

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[70] *Bertelsmann* 15. 'In competing for the most attractive new books, the Big Five have significant advantages over smaller publishers. Most critically, the Big Five have the capital to take chances and place bigger bets on a book's success; that is, they can offer higher advances for more books.'

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